

1 Results

We first study the two versions of our model (one without and one with entrepreneurs) and discuss their ability to reproduce the observed inequality in wealth.

Table 1 Comparing Data and Models with and without Entrepreneurs

	Capital– Output	Wealth Gini	Entre- preneurs	Percentage Wealth in Top			
				1%	5%	20%	40%
U.S. data	3.0	.80	7.55%	30	54	81	94
Model w/o entrepreneurs	3.0	.60	0%	4	20	58	95
Baseline w/ entrepreneurs	3.0	.80	7.50%	31	60	83	94

1.1 The Model without Entrepreneurs

The model economy without entrepreneurs assigns zero entrepreneurial ability to everyone. This model economy produces a distribution of wealth that is much less concentrated than that in the data and, in particular, does not explain the emergence of the large estates that characterize the upper tail of the distribution of wealth.

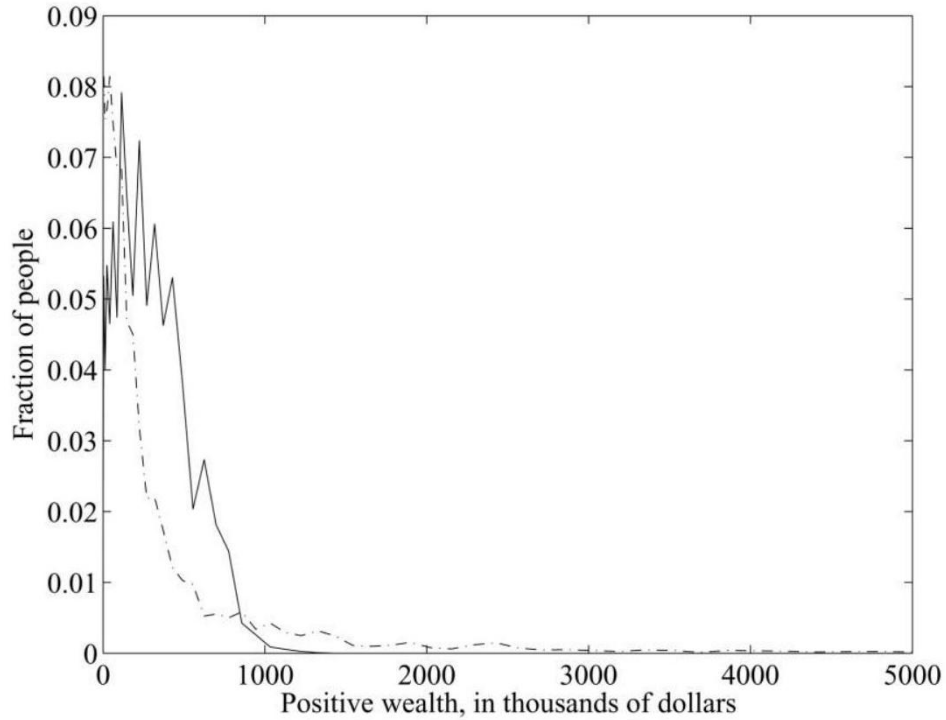


Figure 1 Distribution of wealth, conditional on wealth being positive, for the whole population. Dash-dot line: data; solid line: model without entrepreneurs.

While the data on wealth display a fat tail, in the model without entrepreneurial choice, all households hold less than \$1.1 million.

1.2 The Model with Entrepreneurs

In our baseline simulation the equilibrium interest rate r is 6.5 percent; the share of total wealth held by entrepreneurs is 29 percent, compared with 33 percent in the data; and the degree of decreasing returns to the entrepreneurial technology is 0.88. This parameterization matches the distribution of wealth very well both for the overall population and for the subpopulation of entrepreneurs.

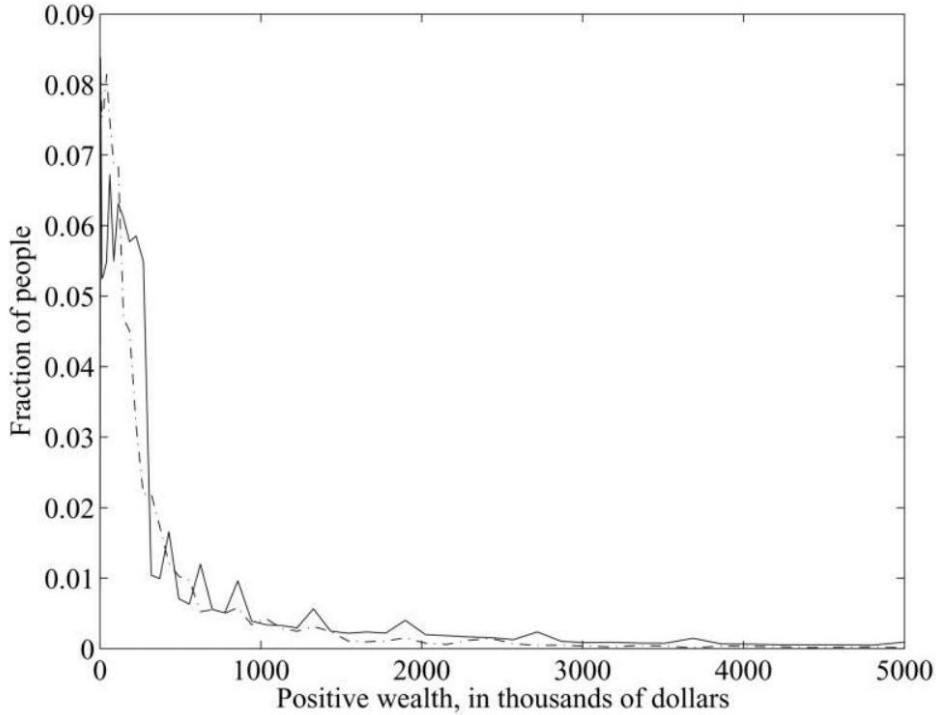


Figure 2 Distribution of wealth, conditional on wealth being positive, for the whole population. Dash-dot line: data; solid line: baseline model with entrepreneurs.

The distribution of wealth for the population of entrepreneurs displays a much fatter tail than the one for workers. Contrary to the model without entrepreneurial choice, the baseline model generates distributions of wealth for both entrepreneurs and nonentrepreneurs with a significant mass of people who have more than \$1.1 million. The nonentrepreneurs in the right tail of the wealth distribution are former entrepreneurs or descendants of entrepreneurs.

Those with low entrepreneurial ability (who are thus workers) exhibit buffer stock saving behavior highlighted by γ : if their assets are low, they save; if high enough, they dissave. The saving rate of those with high entrepreneurial ability and enough assets to become entrepreneurs is positive and considerably higher than that for workers. The combination of higher returns together with the budget constraint generates a very high saving rate for entrepreneurs.

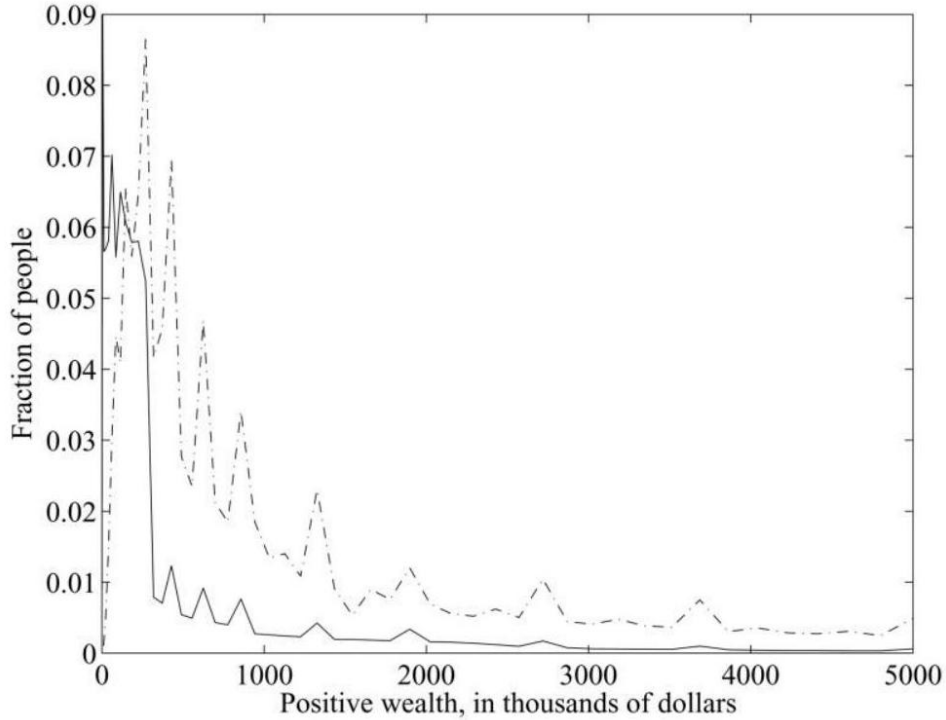


Figure 3 Distribution of wealth, conditional on wealth being positive, in the baseline model with entrepreneurs. Solid line: workers; dash-dot line: entrepreneurs.

Borrowing constraints generate a large amount of heterogeneity in the firm size distribution. The tail is generated by the entrepreneurs who have remained in business for a long period and have thus had time to save and increase the size of their firms.

1.3 The Borrowing Constraints

We examine the effect of changing the tightness of the borrowing constraints by increasing f , the fraction of working capital that cannot be seized by creditors, from 0.75 to 0.85.

The capital-output ratio drops drastically, from 3.0 to 2.7, and the fraction of entrepreneurs falls from 7.5 percent to 6.9 percent since fewer high-ability individuals can borrow and start a firm.

1.4 Bequests

In the baseline economy households are altruistic toward their offspring. We study what happens when households do not care about their descendants and all bequests are accidental.

The absence of the voluntary bequest motive reduces the incentives to accumulate capital and run larger firms. The total capital of the economy decreases from 3.0 to

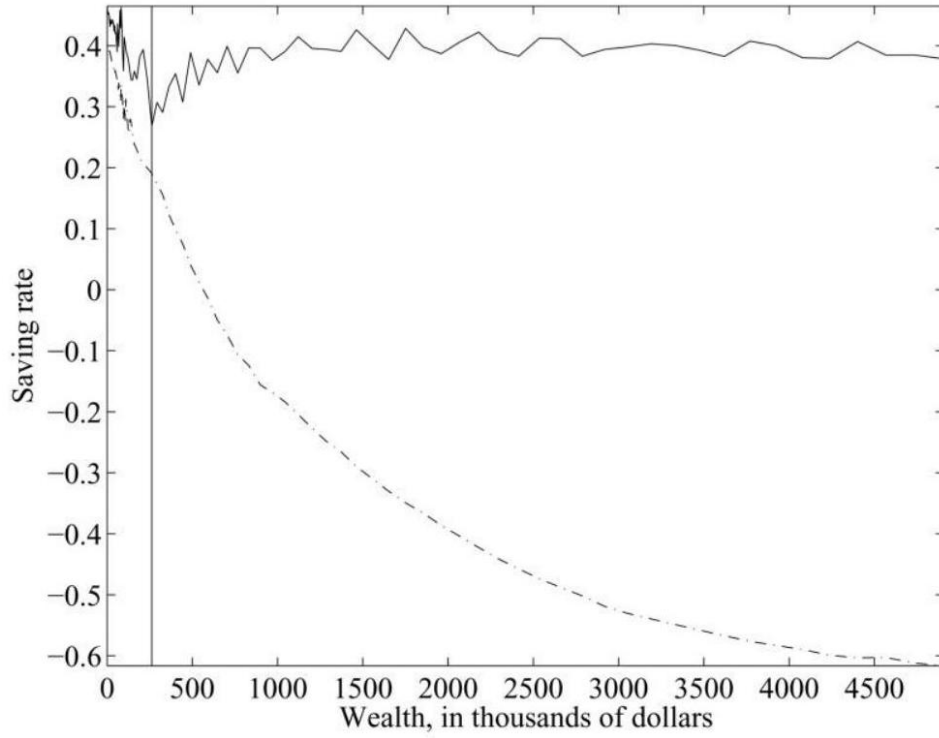


Figure 4 Saving rate for highest-ability workers. Solid line: those with high entrepreneurial ability; dash-dot line: those with no entrepreneurial ability; vertical line: asset level at which high-entrepreneurial ability individuals enter entrepreneurship.

Table 2 The Role of Borrowing Constraints and Voluntary Bequests

	Capital- Output	Interest Rate	Wealth Gini	Entre- preneurs	% Wealth in Top			
					1%	5%	20%	40%
U.S. data	3.0	...	.80	7.55%	30	54	81	94
Baseline	3.0	6.5%	.80	7.50%	31	60	83	94
More stringent ($f = .85$)	2.7	7.5%	.70	6.90%	24	49	75	91
No altruism ($\eta = 0$)	2.5	9.3%	.70	7.55%	21	45	73	90
$\eta = 0$, recalib. $\beta = .88$	3.0	6.4%	.80	7.90%	28	57	81	94

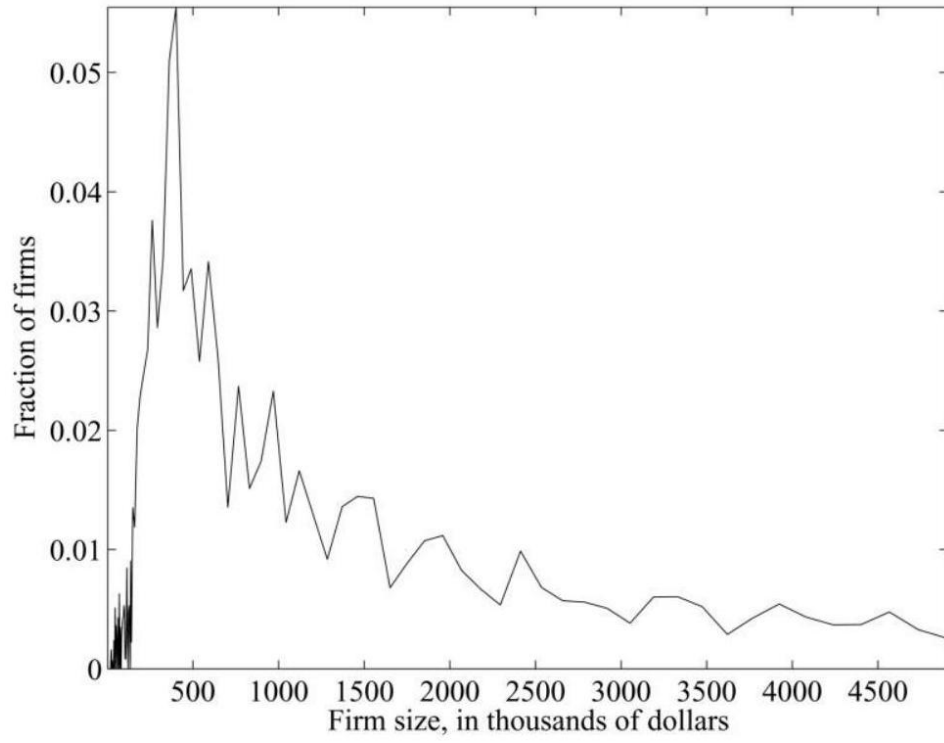


Figure 5 Firm size distribution, baseline model with entrepreneurs.

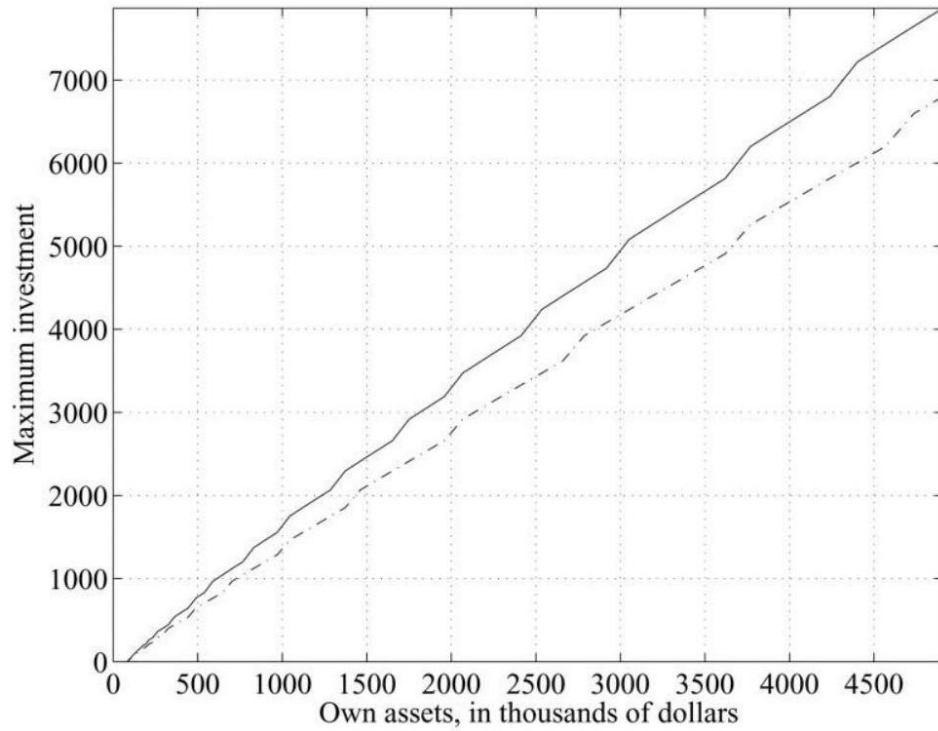


Figure 6 Maximum investment. Solid line: baseline; dash-dot line: more restrictive borrowing constraints.

2.5, and the concentration of wealth drops substantially. As also shown by ?, voluntary bequests are fundamental in explaining the concentration of wealth.

1.5 Impulse responses

(Placeholder for future impulse response analysis.)